

21NWCV00133 21NWCV00133

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SAADIA SQUARE LLC v. ALL-WAYS PACIFIC, LLC

CASE NO.: 21NWCV00133

HEARING: Tuesday,
July 28, 2026, at 9:30 AM

Cross-Complainant's Motion to for Assignment and a
Restraining Order is GRANTED.

Moving Party to give notice.

Procedural History

This action concerning a right of first offer to purchase a
property ("ROFO") was filed by Plaintiff/Cross-Defendant SAADIA SQUARE LLC
("Saadia") on March 5, 2021.

On March 3, 2025, a jury trial commenced.

On March 6, 2025, outside the presence of the jury, counsel
indicated that Saadia and Cross-Complainants Rialto Merrill Holdings, LLC;
Rialto Distribution LLC; RD Real Estate Holdings LLC; Rialto Pacific LLC had
executed a confidential settlement with the inclusion of CCP §664.6 for the
Court's reservation of jurisdiction over the terms of the settlement.

Trial thereafter proceeded between Saadia Square and Defendant SM Logistics Member, LLC ("Managing Member").

The jury rendered their special verdict on March 18, 2025. On May 15, 2025, Judgment was entered after trial on the jury's special verdicts in this action.

On July 25, 2025, this Court issued rulings on the parties' various Post-Judgment Motions. (See M.O., 07/25/25).

On July 28, 2025, an Amended Final Judgment was entered.

On August 8, 2025, Saadia filed a Notice of Appeal of the Judgments or Orders entered on: September 26, 2023; January 11, 2025; January 13, 2025; May 15, 2025; July 25, 2025; and July 26, 2025.

On August 19, 2025, Managing Member filed a Notice of Cross-Appeal of the Judgments or Orders entered on: May 15, 2025; July 25, 2025; July 28, 2025 (Amended Judgment); and July 28, 2025 (Order on Ex Parte Application).

Now, Rialto asks that all rights of Plaintiff Saadia Square LLC, entered in favor of Saadia and against SM Logistics Members, LLC be assigned to Rialto until Rialto's judgment is fully satisfied.

Assignment

Pursuant to CCP § 708.510, a judgment creditor may apply to the court for an order requiring the judgment debtor to assign to the creditor or a receiver appointed under CCP § 708.610, et seq., all or part of the debtor's right to a payment due or to become due, whether or not the right is conditioned on future developments. (CCP § 708.510(a); See, e.g., *Philippine Export and Foreign Loan Guarantee Corp. v. Chuidian* (1990) 218 Cal.App.3d 1058, 1098-1099.)

Under CCP § 708.510, the creditor must apply to the court on noticed motion and serve notice on the judgment debtor, either personally or by mail. (CCP § 708.510(a),(b).) CCP § 708.510(a) provides that the assignment order procedure is applicable to, but not limited to, the following types of payments: (1) Federal wages not subject to withholding under an earnings

withholding order; (2) Rents, commissions, and royalties; (3) Payments due from a patent or copyright; (4) The loan value of an insurance policy. (Id.)

Subject to limitations on recovery under an assignment order, the court may consider all relevant factors in determining whether an assignment is appropriate, which include: (1) the reasonable requirements of a debtor who is a natural person and of persons supported by the debtor; (2) payments the debtor is required to make or that are deducted to satisfy other judgments and wage assignments, including earnings assignment orders for support; (3) the remaining amount due on the money judgment; (4) the amount received to satisfy the right to payment that may be assigned. (CCP § 708.510(c).)

When an application for an assignment order is pending, the creditor may apply for an order restraining the debtor from assigning or otherwise disposing of the right to payment that is sought to be assigned. (CCP § 708.520(a).) The application may be made ex parte, unless the court or a court rule requires a noticed motion. (Id.) The court may issue the order on a showing of need, may also require the creditor to provide an undertaking, and may modify or vacate the order at any time with or without a hearing. (CCP § 708.520(b),(c).) The order must be personally served on the debtor and must contain a notice that failure to comply may subject the debtor to being held in contempt. (CCP § 708.520(d).)

In response, SBM TRADING, LLC (SBM) argues that the pending appeal and CCP §§ 708.410-4.80 sections preclude assignment. However, CCP § 708.510 contains no limitation or exception for judgments on appeal. Indeed, CCP § 708.510 authorizes assignment, “whether or not the right is conditioned on future developments.” (Id.)

Further, SBM’s reliance on Pangborn Plumbing Corp. is inapposite, that case concerned attorney’s contingent, contractual lien over the settlement proceeds for fees not yet earned and not assignment. (Pangborn Plumbing Corp. v. Carruthers & Skiffington (2002) 97 Cal.App.4th 1039, 1055.)

The Court also rejects SBM’s reliance on Buckeye, where the Court found the creditor could not split his demand, and by assignment of a portion thereof impose the debtor the legal obligation of paying the assignee. (Buckeye Refining Co. v. Kelly (1912) 163 Cal.8, 12-13.) CCP §

708.510(d) also supports partial assignment as it states, "A right to payment may be assigned pursuant to this article only to the extent necessary to satisfy the money judgment. (Id.)

The Court finds that assignment is proper. Indeed, Saadia procured judgment in the amount of \$40,491.173.30 against SM Logistics Member, LLC. Rialto obtained judgment in the amount of \$9,216.656.07 against Saadia. Saadia has not satisfied any part of the judgment.

Rialto provided sufficient evidence that it has a right to payment, that Saadia has not made payments, and that the amount does not exceed the amount necessary to satisfy the money judgment.

Rialto's Motion for Assignment is GRANTED.

Restraining Order

Rialto further asks the Court to restrain Saadia from assigning or otherwise disposing of the right to payment.

CCP § 708.520 authorizes a court to restrain a judgment debtor from assigning or otherwise disposing of the right to any payment sought to be assigned upon a showing of need.

Here, Rialto argues that Saadia's former counsel, filed a notice of pre-judgment right to attach and writ of attachment as to all assets subject to levy on Saadia in the amount of \$591,585.28, for legal fees Saadia failed to pay its attorneys.

The Court agrees with Rialto that a restraining order is necessary to ensure Saadia complies with its judgment against Rialto.

Accordingly, Rialto's Motion for a Restraining Order is GRANTED.